

DEMO WATER SERVICES BOARD

Comprehensive Bribery and Corruption Risk Assessment Report

FY 2026/2027 - prepared using the EACC Practical Guide for Corruption Risk Assessment and Management (Appendix III(a) format)

Institution	Demo Water Services Board (DWSB), Institution ID DEMO-002
Document reference	DWSB/ABC/CRA/2026-27/v1.0
Version / status	Version 1.0 - ACTIVE (no predecessor)
Assessment period	Fieldwork 3 - 21 August 2026; covers operations for FY 2026/2027
Approval	Recommended by the CPC at its Q1 meeting of 25 September 2026 (Min. CPC/04/Q1/2026-27); approved by the Accounting Officer on 25 September 2026
Effective from / to	25 September 2026 to 30 June 2027 (or until superseded)
Prepared by	IAO Committee, coordinated by Mr. Daniel Otieno

Evidence category: **Risk-assessment evidence** (Sub-indicator 2). Submitted to the oversight portal on 29 September 2026, before the 30 September 2026 foundation deadline.

1.0 Context of the assessment

This assessment was conducted after the Board's Procedures for the Prevention of Bribery and Corruption were approved (Board Resolution DWSB/BD/RES/2026/014) and as a precondition for the FY 2026/2027 corruption prevention performance contract indicator. During FY 2025/2026 the Board waived KES 1.9 million in fees and penalties, and two public complaints alleged that waivers were granted in exchange for payments. The Managing Director responded with an interim two-level approval rule from 1 July 2026, which this assessment takes into account.

2.0 Scope: core and support functions

Category	Functional areas assessed
Core mandate	New connections; metering and billing; revenue collection and fee waivers; enforcement against illegal connections; customer complaints.
Support services	Procurement; human resource (recruitment); finance (imprest and payments); ICT (billing-system administration); stores and transport.

3.0 Methodology

The IAO Committee reviewed process maps, interviewed 26 staff across the ten functional areas, examined complaints and audit reports for FY 2025/2026 and held a validation workshop with heads of department. Each risk is scored on the declared 1-5 scales below; severity score = Probability x Impact (1-25).

Score	Probability (Pr)	Impact (Im)
1	Rare - not expected in the year	Negligible - no service or revenue effect
2	Unlikely - could occur once in the year	Minor - isolated, quickly corrected
3	Possible - may occur a few times	Moderate - revenue or fairness affected
4	Likely - occurs regularly	Major - systemic revenue loss or media attention
5	Almost certain - occurs frequently	Severe - widespread loss of public trust or legal liability

Severity bands: High 15-25; Medium 6-12; Low 1-5.

4.0 Risk register (Appendix III(a): Corruption Risk Assessment)

Name of Institution: **Demo Water Services Board** FY: **2026/2027** Corruption Risk Assessment

S. No	Functional area	Identified corruption risk (what could go wrong)	Risk source (why would the risk event occur)	Pr (1-5)	Im (1-5)	Score (Pr x Im)	Band	Existing controls
R-01	Billing and revenue - fee and penalty waivers (Core)	Revenue officers solicit or accept a bribe to waive reconnection fees or penalties on arrears.	Until June 2026 a single Revenue Officer could approve and apply a waiver; manual waiver forms; review only in monthly revenue reconciliation.	4	4	16	High	Two-level approval introduced by Circular DWSB/MD/CIRC/2026/07 from 1 July 2026 (not yet verified).
R-02	New connections (Core)	Unofficial payments to jump the connection queue or bypass survey steps.	Manual application tracking; face-to-face follow-up; unpublished service timelines.	4	3	12	Medium	Service charter displayed at counters.
R-03	Metering and billing (Core)	Meter readers or billing clerks under-record consumption or adjust bills in exchange for kickbacks.	Manual meter books; billing adjustments not exception-reported.	3	4	12	Medium	Supervisor spot checks of 5% of routes.
R-04	Enforcement - illegal connections (Core)	Enforcement officers accept bribes to overlook illegal connections or drop penalties.	Fixed teams per zone; cases recorded after the field visit.	3	4	12	Medium	Case files reviewed by Head, Technical Services.
R-05	Procurement (Support)	Tailoring specifications for pipes and fittings or undisclosed conflict of interest in evaluation committees.	User department drafts specifications; committee declarations not always recorded.	3	4	12	Medium	PPADA procedures; e-procurement; tender committee declarations.
R-06	Human resource - recruitment (Support)	Influence peddling or payments to secure casual or permanent positions.	Casual hiring by section heads; shortlisting criteria not documented.	3	3	9	Medium	HR Advisory Committee for permanent posts.
R-07	Stores and transport (Support)	Collusive pilferage of fuel and stores items.	Manual fuel registers; stores issues not reconciled to work orders.	2	3	6	Medium	Quarterly stock take.
R-08	Finance - imprest and payments (Support)	Irregular imprest issued or surrendered with fictitious receipts.	Imprest tracked in spreadsheets; late surrender not escalated.	2	4	8	Medium	IFMIS approval workflow; internal audit.

5.0 Summary of results

Band	Risks	Count
High (15-25)	R-01 (16)	1
Medium (6-12)	R-02 (12), R-03 (12), R-04 (12), R-05 (12), R-06 (9), R-08 (8), R-07 (6)	7
Low (1-5)	-	0

6.0 Assessment of existing controls

The interim two-level waiver approval rule addresses the design weakness behind R-01, but it is new and has not been verified; the register must be checked every quarter to confirm that every waiver granted carries a recorded second approval. Controls for the remaining core risks depend on supervisor spot checks, and staff awareness of the new Procedures is low. Support-function controls are largely system-enforced (IFMIS, e-procurement) and are rated adequate subject to staff awareness.

7.0 Recommendations to the Mitigation Plan

- Formalise the two-level fee waiver approval workflow in the waiver register, restrict waivers to the monthly Waiver Approval Sitting and verify the register every quarter (treats R-01).
- Train staff in affected functions on the Procedures in four cohorts during the year (treats R-01 to R-05).
- Continue existing controls for R-02 to R-08 and monitor them at each quarterly CPC meeting.
- Hold quarterly IAO Committee and CPC meetings to track implementation and approve reports to the Commission.

8.0 Approval

Name	Designation / role	Signature	Date
Mr. Daniel Otieno	Chair, IAO Committee (prepared)		21 Aug 2026
Eng. Halima Odera	Accounting Officer (approved, on CPC recommendation Min. CPC/04/Q1/2026-27)		25 Sep 2026